

What Happened

NeoMart's sales grew steadily throughout the year, climbing 25% from January to December and peaking in the fourth quarter. Demand and market reach are clearly expanding. However, profit grew at less than two-thirds that rate — just 15% — and has been essentially flat since August. The business is selling more but keeping less of every additional dollar.

+25%

Sales growth (Jan-Dec)

Driven by strong H2 momentum

12.5%

Overall profit margin

Below the 18-20% healthy retail benchmark

South

Weakest-margin region

36% of sales, only 24% of profit

-0.45

Discount-profit correlation

Heavier discounts quietly erode margin



Why It Happened

SITUATION

Sales climbed steadily through the year, peaking in Q4 — a sign of growing demand and successful market penetration across all four regions.

COMPLICATION

Profit growth has not kept pace. Three forces are responsible: underperformance in the South region, a low-margin product mix skewed toward Furniture, and profit erosion from heavy discounting.

RESOLUTION

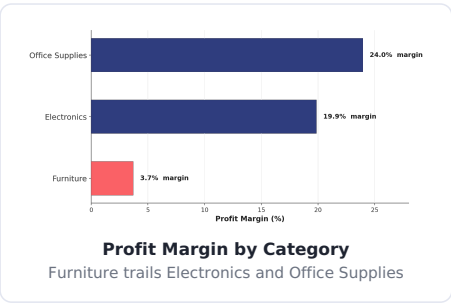
Fix South's delivery operations, rebalance the product mix away from low-margin Furniture, and cap discounting above 20% to protect margin going forward.

THE BOTTOM LINE

Growth is healthy. Profitability is not keeping up because of where that growth is coming from — a slow, low-satisfaction region, a low-margin product category, and discount levels that erase much of the upside. None of these are demand problems; all three are operationally fixable. See page 2 for the supporting evidence and a four-point action plan.

Key Findings

- **South is the core profit drag.** It generates the most sales (\$738K, 36% of the total) but only an 8.4% margin — nearly half of the 14–15% margin in every other region. Average delivery time there is 7.6 days, almost double the 4.0-day network average, and customer satisfaction is 3.15 out of 5 versus 4.2+ elsewhere. Slow delivery is coinciding directly with both low satisfaction and weak profitability.
- **Furniture sells well but barely profits.** It is NeoMart's top revenue category at \$1.02M, yet converts only 3.7% of that to profit — compared to 19.9% for Electronics and 24.0% for Office Supplies. A large share of total sales is being generated by the company's least profitable product line.
- **Discounting is eroding margin.** Discount level and profit are negatively correlated (-0.45). Orders discounted 20% or more average just \$65 in profit, versus \$164 for orders discounted 0–10%. Heavier discounting is being used broadly, not just to clear excess inventory.
- **Delivery speed and satisfaction move together.** Across the full dataset, delivery days and customer satisfaction correlate at -0.62 — the strongest relationship found. This explains why the South region, with the slowest deliveries, also reports the lowest satisfaction scores.



What Management Should Do Next

01

Fix South's delivery operations

Investigate logistics bottlenecks driving the 7.6-day average. Closing the gap to the 4-day network average would likely lift both margin and satisfaction in the region.

02

Cap discounts above 20%

Orders past the 20% threshold average under half the profit of lightly-discounted ones. Set a margin floor before approving deep discounts.

03

Re-price or re-source Furniture

At 3.7% margin against 20–24% elsewhere, review supplier costs and pricing, or shift marketing investment toward Electronics and Office Supplies.

04

Track margin, not just revenue

Add profit-margin KPIs to monthly business reviews alongside sales totals so a repeat of this sales-up/profit-flat pattern is caught early.